

4 Fits in the AI Era

Ask AI

Chapters

Focus Mode

■ How artificial intelligence changes growth: product, market, channel, model

Again, to build successful products you must consider four principles:

- Product-market fit
- Product-channel fit
- Channel-model fit
- Business-model-market fit

Product

Artificial intelligence expands both the problem space and the solution space. You can now tackle problems that were too difficult before, and find new ways to solve old problems that previously could not be solved.

The capabilities of large language models roughly double every seven months. This is not gradual change; it is exponential growth. That means the set of available tasks and solutions is expanding very quickly. An agent can fully complete a task that used to take a client 8, 40, 80 hours or more. These are exactly the kinds of changes we have already encountered and will continue to face.

As new tasks arrive, you will need to look for new markets and new channels. More solutions alone do not guarantee better market fit.

Market

Artificial intelligence expands some markets and, conversely, contracts others. Canva has always positioned itself as a design service for everyone, and its potential audience is now growing rapidly. When a user can simply describe a desired outcome instead of manually moving elements and picking colors, this becomes real.

The same is happening with AI tools for building apps, such as Lovable and Bolt: they have turned a niche no-code market into something far more mainstream.

But there is a flip side. Chegg, a study help service, lost its previous product-market fit in just a few months. Customer support tools were based on live interaction, and they began selling to companies that now need fewer such employees. Today AI strengthens the support function and, in some cases, can almost completely replace human involvement.

How AI changes customer expectations:

Old expectations

New expectations

- A place where I can create something
- Do the work for me
- Made specifically for me
- One size fits all, and I customize it for myself
- I am willing to wait
- I do routine work myself
- I want to get it right now
- Routine work is done for me
- I will pay for every seat
- I will pay for the result
- The tool sees what I do
- The tool has no context
- I will master this interface
- The interface adapts to me

Channel

Old distribution channels are getting worse: SEO is declining, social networks are closed off, and ad platforms are becoming more expensive. This is due to AI and the typical platform cycle: first they open for growth, then they restrict access in order to monetize. Right now most strong channels are already in the “closing” stage.

The distribution opportunity is already taking shape around ChatGPT and AI search, but for now it is more of a rapidly growing discovery and recommendation channel than a true mass source of traffic for all types of businesses.

Model

AI is changing product economics and pricing. Supporting users is becoming more expensive because running the models costs real money. The more complex the scenarios, the higher the token consumption, and users still want the newest, most expensive models. At the same time, willingness to pay for AI products is still not fully clear: the initial novelty effect fades, and product value will need to be proven again.

Customer demand for AI is incredibly high, but that does not automatically guarantee profit or business sustainability.

What happens when artificial intelligence changes everything at once?

How product-market fit changes

Companies can almost instantly find and lose product-market fit. It is important to understand that this state is temporary. In the past, markets and technologies also changed, but slowly enough that companies had time to adapt.

For example, during the transition to mobile devices, new capabilities appeared gradually: technologies evolved annually, the developer ecosystem formed over time, and mass adoption of smartphones and fast internet took years. So the gap between new capabilities and changing customer expectations was several years, and business had time to restructure.

But with artificial intelligence, something different is happening. The time between these stages is much shorter.

- New AI capabilities appear monthly, if not weekly.
- A broad developer ecosystem is already formed around this new technology, and it continues to grow.
- This technology spreads among hundreds of millions of people quickly, cheaply, and freely.

As a result, we see that the product-market fit threshold does not simply accelerate; it shifts. And when it shifts, a company can lose product-market fit overnight.

Example: Chegg is a good illustration. Chegg's main subscription offered students help with homework. In January 2024, its value was estimated at \$1.2 billion. By October 2024 (nine months later) it was worth \$150 million. In nine months, its value fell by 90%, and its subscriber base shrank by half a million. If the company was nearly break-even in 2023, then in the third quarter of 2024 it lost \$600 million.

Chegg's attempt to bring a new AI-based product to market failed. It launched its first AI-driven features 26 months after ChatGPT. In the past, that could have been considered a fast enough response — but not in the age of artificial intelligence.

How product-channel fit changes

The principle of product-channel fit says that products adapt to channels. All successful products are built on top of another channel. TikTok used Facebook ads, Booking used Google ads, and HubSpot used Google search optimization.

Channels do not adapt to your product. This is because you do not control the channels where your audience lives. You play by their rules.

What happens if a channel stops meeting market requirements?

Imagine a scenario where a major platform like Google suddenly stops meeting market requirements. The consequences would be catastrophic and widespread. Companies like TripAdvisor and Pinterest, which rely heavily on search traffic, would face serious problems. This would affect thousands of smaller companies that depend on those intermediary platforms. Companies need to watch their distribution channels closely and prepare for disruption.

What if a new channel appears?

When Facebook emerged in 2007, people did not stop visiting web game portals like Webclip and Yahoo Games. But suddenly there was a new place where people spent a lot of time and formed new habits. Web game companies tried to move their games into Facebook and failed. The games were not designed for how people behaved in that social context (playing with friends rather than alone).

The gap with ChatGPT is happening right now.

In many categories, people now start searches with ChatGPT instead of traditional search engines or specialized sites. This is a fundamental shift in user behavior and starting points. The consequences differ greatly by industry. Companies selling products that require careful selection, such as travel packages or cars, face immediate challenges. Before reaching traditional booking sites or dealer websites, users conduct thorough research with ChatGPT. These companies need to understand how to adapt their products to work with AI, or they risk losing clients to competitors.

You are vulnerable even when your channels seem stable.

If your audience starts spending more time and attention on new channels, you need to figure out what those channels are as soon as possible. Otherwise you risk losing to a new player who masters those channels first.

When choosing Channel Model Fit, the channels that work for you are determined by your monetization model (how you charge, when you charge, what you charge for, and how much you charge).

Some companies with low ARPU must use low-CAC channels. Others with high ARPU can use high-CAC channels.

Channel Model Fit can break for several reasons:

1. AI raises the cost of using the product, causing the old monetization model — especially for free and low-cost products — to stop working.
2. At the same time, familiar acquisition channels such as SEO may weaken, forcing companies to shift to more expensive channels, which requires rethinking pricing and product economics.
3. AI also changes user behavior: people begin to expect a fast, easy, and nearly seamless purchase path, causing traditional funnels and channels to lose effectiveness quickly.

When that balance breaks, a company risks falling into the “danger zone”:

1. The product is too expensive and too complex for cheap channels, but not lucrative enough for expensive ones. This can lead to slower growth, churn, higher CAC, worse unit economics, and forced changes in pricing and product mix.
2. In those conditions, companies that build flexibility into their monetization early and can quickly rewire channels when the market

changes win.

If the AI wave turns your existing segment into a mass commodity, you may need to move toward more expensive customers and start serving enterprise buyers, which requires building (and funding) a higher-touch sales organization. Or you may need to shift toward cheaper customers — lowering ARPU and relying on low-touch channels. Either way, you will likely need a major change in approach, which can be risky, costly, and time-consuming.

How model-market fit changes

Some markets are experiencing a real boom. Companies like Cursor and Windsurf are entering much larger markets. AI writes code, which means many more people can build products. Lovable, Bolt, Replit, and v0 are bringing this technology to a new level and conquering entirely new markets. Building applications without writing code opens almost limitless possibilities.

Replit's revenue has grown 50x over the past 12 months; the company has 40 million users and 175,000 paying customers, according to Sacra. The company grew rapidly thanks to product momentum and huge interest in coding. Since then it has focused on team and enterprise adoption, aiming to become a B2B utility for product and design teams.

In this case, the spark is a large market, but only 0.44% of Replit users are willing to pay. Thus, even though.....only 0.44% of the market is paying. Therefore, despite the huge opportunity, the business still needs to find a viable monetization path.

That freemium plans can generate huge amounts of free usage does not mean they are automatically successful. (1) That free usage can be expensive, and (2) it is not always a clear signal that users will pay for additional features.

Carta reports that more than 1,700 startups shut down in 2023 and 2024, which is a significant increase compared with previous years. Good ideas, excellent products, and even strong user interest $\neq$ long-term success.

Change in buyer persona

AI creates new buyer archetypes with different authority, timelines, and success metrics. The traditional IT buyer focuses on features and

integration. The AI buyer often comes from operations and evaluates a solution based on labor savings and process automation. Approval processes, budget sources, and implementation timelines are completely different than when buying traditional software.

Many of us are so used to switching from one free or freemium AI tool to another that it is hard to imagine how procurement selects one tool for an entire company. But this is already happening, and decision rights are shifting from early adopters to technical leaders.

3 reasons AI disrupts Model Market Fit

AI can expose one or more variables in the Model Market Fit equation in three ways:

1. A sharp reduction in average revenue per user (ARPU): AI-based tools often automate and simplify something that used to be complex and expensive. For example, if you charged \$1,000 per year for a product (such as specialized analytics or content creation), a new AI competitor could lower the average price to \$100 per year or even make the product free (supported by advertising or data collection).
2. A reduction or fragmentation of TAM: Sometimes AI not only lowers prices but also radically changes who qualifies as a paying customer. Suppose your main market was companies that needed manual data entry. If AI automates large volumes of data processing, the market itself (i.e. the set of customers who need your old solution) shrinks dramatically.
3. A reduction in served available market (SAM): Even if the market does not disappear and your ARPU stays the same, AI can produce new leaders with network effects or entirely new approaches, making it harder for incumbents to preserve (let alone grow) their share.

The chance to become a \$100 million business still exists, but the path may be different.

On one side there is risk, on the other there is opportunity.

Everything is happening very fast. I hope this makes you hurry a little. Despite all the risks, huge opportunities are opening. Now you need to analyze your product, market, channel, and model, and then carefully examine how well each of the four elements currently works.